1888.HK - Kingboard Laminates Holdings / 建滔積層板 | Full investment artifact

Full investment research | Model assumptions and source evidence

Research date: 8 October 2026 | **Framework:** 8.0 consolidated | **Format:** standalone current-state analysis **Status:** Full Framework 8.0 artifact; quarterly forecasts with explicit half-year reporting limitations | **Classification:** BOTTLENECK in integrated laminate and electronic-glass supply during an expanding materials cycle; competitive supplier **Artifact Base:** 43/60 = **72% - Watchlist** | **Portfolio Excel Base:** 72% (aligned with the analytical assessment) **Snapshot:** supplied-workbook price HKD 38.360; model share proxy 3,192.800000M; implied snapshot market capitalization 122,475.808 HKD millions. Price is frozen from the supplied workbook, not a current-market refresh; capitalization uses the modeled denominator. **Active ceiling:** Q4 2027 **HKD 80.254645**, pricing Q4 2027-Q3 2028. All 15 quarterly ceilings are derived below.

The earnings base and capacity programme are substantially stronger than the June artifact assumed. This rebuild expands the materials opportunity, removes unowned PCB manufacturing, avoids internal-material double counting and retains a 15× cyclical-materials OP multiple. Portfolio Base stays unchanged.

1. Supercycle, supply chain and durable advantage

Kingboard combines laminates with glass yarn/fabric, copper foil and resin production. Integration protects supply and lets the company earn more of the materials spread when customers cannot obtain key inputs. AI boards and packaging need better electrical and thermal performance, raising content and specialty mix. Volume leadership and supply security support capture, but alternative qualified producers and cyclical capacity additions constrain sustained pricing power.

Glass yarn → woven electronic fabric; copper → treated foil; resin → prepreg and laminate bonding; these materials → copper-clad laminates → customers' PCBs or package substrates. Kingboard earns its own external material and laminate sales. Selling a laminate to a fellow Kingboard Holdings subsidiary is an external sale for 1888's subgroup, but that sibling's finished-PCB revenue is not owned by 1888. Glass-core chip packages and system PCBs solve different functions; glass-core adoption does not automatically eliminate PCB laminate demand.

Business / curve	Stage	Evidence and next inflection
Conventional laminates	Mature product, strong cyclical upturn	Price and volume both rise; margin can normalize with new supply.
Specialty glass and high-speed materials	Scaling, 25-50% qualitative band	Five specialty kilns operating, eight planned, low-Dk/low-CTE certifications.
High-end copper and prepreg	Early-to-scaling, 10-30% band	21,000 tonnes new foil capacity targeted Q3 2027.
Highest-grade customer capture	Qualification-dependent	No audited grade-by-grade sales; label high-performance capture as modeled.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27 / 100% thematic weight	More board layers and higher-performance glass/copper/resin per computing system	Near-full operations, shipments above 10M sheets per month and H1 volume +14% provide the unit starting point. Rising ASP and external material demand enlarge revenue.
2028-29 / 50% thematic weight	Specialty glass, low loss and thermal reliability	1.05B metres fabric capacity and 100M specialty metres by 2028 provide a physical ceiling to test capture against. Internal consumption must be deducted.
2030+ / 20% thematic weight	Broader AI, vehicle and high-speed interconnect materials	63,650M modeled operating revenue in 2030 requires continuing high-end share and utilization, with margins below the 2027 peak.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

The latest interim report covers H1 2026, not a reported Q2 alone. Revenue was 14,903.809M HKD and GP 4,580.233M; distribution and administration were 273.283M and 438.927M. GP less those costs is 3,868.023M before other income and investment marks. Reported pre-tax profit was 3,515.028M and parent net profit 2,886.561M. Remove 80.412M investment interest/dividends from modeled operating revenue and contribution: the recurring operating calibration is 14,823.397M sales and 3,787.611M OP. Management also disclosed approximately 1,100M July profit; it did not identify this as quarterly OP or a guaranteed monthly run rate. [S1]

No complete public earnings-call recordings or transcripts were located for the latest two reporting events. The full relevant management discussions in the FY2025 annual report and H1 2026 interim report were read instead, including capacity, liquidity and prospects. The progression is from three planned additional specialty kilns to four commissioned, bringing the total to five; eight further kilns are planned, for thirteen. The latest report adds dated fabric projects, a Q3 2027 copper-foil schedule and a mid-2027 laminate line. These written disclosures are the management evidence, not a claimed call review. [S1/S2]

Complete call transcripts for the latest two events were not located. Current issuer financial statements and the two full relevant written management discussions substitute for call evidence, with the gap explicit. The new interim report was published September 17 and uploaded on the issuer site September 18. Grade-specific margins, named AI customers, exact external cloth share and binding future sales are unavailable. The model is complete as a framework artifact, while those inputs remain estimates.

4. Local evidence and calibration packet

Chinese-language discovery was cross-checked against issuer reports. H1 laminate-division revenue 14,774.758M includes multiple upstream products; it is not pure CCL sales. Glass/yarn profit of approximately 1,000M is a management operating-business figure, not a new revenue line. The September connected-transaction disclosure reports 3,702.167M sales to the KBH group through August. This provides an AH12 local procurement check alongside actual capacity and shipments. Its 2027/28 caps of 8,329.9M/9,995.9M are legal ceilings containing buffers and estimated growth, not committed orders. The 2026 straight-line estimate is 5,553.251M, with 25% buffer in the revised cap. No full hyperscaler-capex amount is allocated to 1888. [S1/S3]

5. Summing thesis score

Category	Points / maximum	Evidence
Core Thesis	15/20	Integrated manufacturing and certifications support capture; many competitors remain.
Cycle Stage	9/10	Current shipments, pricing and July profit validate a strong upcycle.
TAM Expansion	9/10	Low-Dk, low-CTE and quartz materials enlarge high-end content beyond commodity FR-4.
Catalysts	4/5	Dated capacity projects; customer-grade sales remain undisclosed.
Macro	8/10	AI and auto content support demand with raw-material and trade sensitivity.
Alpha	3/5	Company boundary, eliminations and specialty mix require careful reconciliation.
Risks	-5	Five risk classes.

Sum: 43/60 × 100 = 71.666667%, conventionally rounded to 72%. The analytical and portfolio Excel Base scores are both 72%. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

Model external sales of five owned operating sources. Do not include the wider Kingboard Holdings PCB manufacturing segment. Separate established and higher-performance laminates, external glass, external copper/resin and small ancillary operations. Internal sales of yarn, cloth or foil into the company's own laminates are eliminated, not added to laminate revenue. The anchors are estimated allocations of an entire six-month H1 operating total, not reported quarterly product sales.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
Established laminate	Estimated H1 6,000M	H2 4,800/5,000M; 2027-30 18,000/18,000/17,000/17,000M. Pricing normalizes as higher-performance products take share.	36-37% H2, then 34/30.5/25/24%; 2028 incorporates probability-weighted persistence, with a separate incremental expense reserve.
Higher-performance laminate	Estimated H1 2,500M	H2 1,800/2,100M; annual 12,000/16,000/19,000/23,000M. Broad premium applications, not a disclosed M8/M9-only category.	43-45% H2; 44/42.6/40/38% later. The 2028 persistence weight is 30%; qualification, yield and competition constrain retention.
External glass fabric/yarn	Estimated H1 2,600M	H2 2,100/2,400M; annual 9,000/10,625/11,500/12,000M. External sales only; internal cloth stays in laminate cost/margin.	56-58% H2 then 54/48/40/36%; scarcity and specialty mix fade toward more competitive returns.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
External copper, resin and other upstream	H1 residual 3,492.962M, including disclosed specialty resin 806.787M	H2 1,800/2,000M; annual 7,000/9,000/10,000/11,000M. Q3 2027 foil startup adds capacity within this vector.	33-35% H2; 32/30/27/25% later. Copper price pass-through alone is not profit growth.
Ancillary operating sales	H1 230.435M = operating revenue outside four materials allocations	H2 120/125M; annual 500/550/600/650M; modest rental/hotel/other activity.	20% contribution; investment interest/dividends and marks excluded.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

V1. Established laminates and prepreg

Sources: S1/S2 external material totals, price and shipment evidence. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	6,000.000000	0.800000	4,800.000	36.000%	1,728.000
Q4 2026	6,000.000000	0.833333	5,000.000	37.000%	1,850.000
Q1 2027	6,000.000000	0.660000	3,960.000	34.000%	1,346.400
Q2 2027	6,000.000000	0.720000	4,320.000	34.000%	1,468.800
Q3 2027	6,000.000000	0.780000	4,680.000	34.000%	1,591.200
Q4 2027	6,000.000000	0.840000	5,040.000	34.000%	1,713.600
Q1 2028	6,000.000000	0.660000	3,960.000	30.500%	1,207.800
Q2 2028	6,000.000000	0.720000	4,320.000	30.500%	1,317.600
Q3 2028	6,000.000000	0.780000	4,680.000	30.500%	1,427.400
Q4 2028	6,000.000000	0.840000	5,040.000	30.500%	1,537.200
Q1 2029	6,000.000000	0.623333	3,740.000	25.000%	935.000
Q2 2029	6,000.000000	0.680000	4,080.000	25.000%	1,020.000

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2029	6,000.000000	0.736667	4,420.000	25.000%	1,105.000
Q4 2029	6,000.000000	0.793333	4,760.000	25.000%	1,190.000
Q1 2030	6,000.000000	0.623333	3,740.000	24.000%	897.600
Q2 2030	6,000.000000	0.680000	4,080.000	24.000%	979.200
Q3 2030	6,000.000000	0.736667	4,420.000	24.000%	1,060.800
Q4 2030	6,000.000000	0.793333	4,760.000	24.000%	1,142.400

V2. Higher-performance laminates and prepreg

Sources: S1/S2 certifications and higher-value product development. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	2,500.000000	0.720000	1,800.000	43.000%	774.000
Q4 2026	2,500.000000	0.840000	2,100.000	45.000%	945.000
Q1 2027	2,500.000000	1.056000	2,640.000	44.000%	1,161.600
Q2 2027	2,500.000000	1.152000	2,880.000	44.000%	1,267.200
Q3 2027	2,500.000000	1.248000	3,120.000	44.000%	1,372.800
Q4 2027	2,500.000000	1.344000	3,360.000	44.000%	1,478.400
Q1 2028	2,500.000000	1.408000	3,520.000	42.600%	1,499.520
Q2 2028	2,500.000000	1.536000	3,840.000	42.600%	1,635.840
Q3 2028	2,500.000000	1.664000	4,160.000	42.600%	1,772.160
Q4 2028	2,500.000000	1.792000	4,480.000	42.600%	1,908.480
Q1 2029	2,500.000000	1.672000	4,180.000	40.000%	1,672.000
Q2 2029	2,500.000000	1.824000	4,560.000	40.000%	1,824.000
Q3 2029	2,500.000000	1.976000	4,940.000	40.000%	1,976.000

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2029	2,500.000000	2.128000	5,320.000	40.000%	2,128.000
Q1 2030	2,500.000000	2.024000	5,060.000	38.000%	1,922.800
Q2 2030	2,500.000000	2.208000	5,520.000	38.000%	2,097.600
Q3 2030	2,500.000000	2.392000	5,980.000	38.000%	2,272.400
Q4 2030	2,500.000000	2.576000	6,440.000	38.000%	2,447.200

V3. External electronic glass fabric and yarn

Sources: S1 kiln/loom/capacity and glass-profit evidence. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	2,600.000000	0.807692	2,100.000	56.000%	1,176.000
Q4 2026	2,600.000000	0.923077	2,400.000	58.000%	1,392.000
Q1 2027	2,600.000000	0.761538	1,980.000	54.000%	1,069.200
Q2 2027	2,600.000000	0.830769	2,160.000	54.000%	1,166.400
Q3 2027	2,600.000000	0.900000	2,340.000	54.000%	1,263.600
Q4 2027	2,600.000000	0.969231	2,520.000	54.000%	1,360.800
Q1 2028	2,600.000000	0.899038	2,337.500	48.000%	1,122.000
Q2 2028	2,600.000000	0.980769	2,550.000	48.000%	1,224.000
Q3 2028	2,600.000000	1.062500	2,762.500	48.000%	1,326.000
Q4 2028	2,600.000000	1.144231	2,975.000	48.000%	1,428.000
Q1 2029	2,600.000000	0.973077	2,530.000	40.000%	1,012.000
Q2 2029	2,600.000000	1.061538	2,760.000	40.000%	1,104.000
Q3 2029	2,600.000000	1.150000	2,990.000	40.000%	1,196.000
Q4 2029	2,600.000000	1.238462	3,220.000	40.000%	1,288.000

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2030	2,600.000000	1.015385	2,640.000	36.000%	950.400
Q2 2030	2,600.000000	1.107692	2,880.000	36.000%	1,036.800
Q3 2030	2,600.000000	1.200000	3,120.000	36.000%	1,123.200
Q4 2030	2,600.000000	1.292308	3,360.000	36.000%	1,209.600

V4. External copper foil, specialty resin and other upstream materials

Sources: S1 external sales and copper project; S2 resin/foil products. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	3,492.962000	0.515322	1,800.000	33.000%	594.000
Q4 2026	3,492.962000	0.572580	2,000.000	35.000%	700.000
Q1 2027	3,492.962000	0.440887	1,540.000	32.000%	492.800
Q2 2027	3,492.962000	0.480967	1,680.000	32.000%	537.600
Q3 2027	3,492.962000	0.521048	1,820.000	32.000%	582.400
Q4 2027	3,492.962000	0.561128	1,960.000	32.000%	627.200
Q1 2028	3,492.962000	0.566854	1,980.000	30.000%	594.000
Q2 2028	3,492.962000	0.618386	2,160.000	30.000%	648.000
Q3 2028	3,492.962000	0.669919	2,340.000	30.000%	702.000
Q4 2028	3,492.962000	0.721451	2,520.000	30.000%	756.000
Q1 2029	3,492.962000	0.629838	2,200.000	27.000%	594.000
Q2 2029	3,492.962000	0.687096	2,400.000	27.000%	648.000
Q3 2029	3,492.962000	0.744354	2,600.000	27.000%	702.000
Q4 2029	3,492.962000	0.801612	2,800.000	27.000%	756.000
Q1 2030	3,492.962000	0.692822	2,420.000	25.000%	605.000

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2030	3,492.962000	0.755806	2,640.000	25.000%	660.000
Q3 2030	3,492.962000	0.818789	2,860.000	25.000%	715.000
Q4 2030	3,492.962000	0.881773	3,080.000	25.000%	770.000

V5. Property, hotel and other operating sales

Sources: S1 revenue-recognition note and segment report. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	230.435000	0.520754	120.000	20.000%	24.000
Q4 2026	230.435000	0.542452	125.000	20.000%	25.000
Q1 2027	230.435000	0.477358	110.000	20.000%	22.000
Q2 2027	230.435000	0.520754	120.000	20.000%	24.000
Q3 2027	230.435000	0.564150	130.000	20.000%	26.000
Q4 2027	230.435000	0.607547	140.000	20.000%	28.000
Q1 2028	230.435000	0.525094	121.000	20.000%	24.200
Q2 2028	230.435000	0.572830	132.000	20.000%	26.400
Q3 2028	230.435000	0.620565	143.000	20.000%	28.600
Q4 2028	230.435000	0.668301	154.000	20.000%	30.800
Q1 2029	230.435000	0.572830	132.000	20.000%	26.400
Q2 2029	230.435000	0.624905	144.000	20.000%	28.800
Q3 2029	230.435000	0.676980	156.000	20.000%	31.200
Q4 2029	230.435000	0.729056	168.000	20.000%	33.600
Q1 2030	230.435000	0.620565	143.000	20.000%	28.600
Q2 2030	230.435000	0.676980	156.000	20.000%	31.200

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2030	230.435000	0.733396	169.000	20.000%	33.800
Q4 2030	230.435000	0.789811	182.000	20.000%	36.400

6A. Laminate-margin persistence: the selected engineering and cost bridge

The dated October 5 BofA report supports a modest extension of the materials cycle. It reports high-end CCL production lead times of 2-3 months in H2 2026 versus 1-2 months in H1, and low/mid-end lead times of 1-2 months versus 7-10 days previously. It links Kingboard's economics to vertical integration in yarn, cloth and laminate. These are attributed bank/channel observations, not a new Kingboard order or a company-confirmed 2028 gross margin. [S6, pp.11-14]

The customer cost of waiting matters: unavailable qualified laminate can delay a higher-value PCB or system. That can support supplier bargaining power on new or repriceable business. But CCL price increases driven by copper or glass costs do not automatically expand profit, and fixed-price commitments cannot be repriced simply because spot conditions tighten. This model expresses the remaining opportunity as delayed margin normalization within existing sales, rather than adding another broad ASP increase to already elevated 2027 economics.

Selected probability: 30%. Bounded conditional outcome: retain 2027 established/premium laminate gross margins of 34%/44% through all four quarters of 2028, versus reference margins of 29%/42%. The weighted active margins are therefore 30.5% and 42.6%. This is a subjective ASTRA duration judgment. Neither the probability nor the endpoint is presented as bank or issuer guidance. The 70% non-persistence weight keeps the existing 2028 normalization. From Q1 2029, the original 25%/40% curve applies without any further persistence benefit.

Overlap adjustment: the bridge counts only the difference between existing 2028 reference margins and the conditional endpoints. All 2027 earnings, existing volume/capacity plans, glass margins and internal-material transfers are excluded from the increment. There is no separate glass repricing or laminate ASP shock. This direct difference removes the overlapping economics; a second arbitrary overlap haircut would discount the same exclusion twice.

Cost and recognition: product gross-margin endpoints include copper/resin/glass inputs, ordinary production depreciation, energy and scrap. Deduct a further 10% of probability-weighted incremental GP for qualification, commercial support and operating expense. This explicit cost reserve is an analyst assumption. Recognize only with the modeled 2028 external laminate sales; revenue and share count do not change. All amounts below are HKD millions.

Period	Established sales	Premium sales	Conditional GP delta	Weighted GP delta	Extra expense	Weighted OP delta
Q1 2028	3,960.000	3,520.000	268.400	80.520	8.052	72.468
Q2 2028	4,320.000	3,840.000	292.800	87.840	8.784	79.056
Q3 2028	4,680.000	4,160.000	317.200	95.160	9.516	85.644
Q4 2028	5,040.000	4,480.000	341.600	102.480	10.248	92.232
CY2028 total	18,000.000	16,000.000	1,220.000	366.000	36.600	329.400

For the active Q4 2027 ceiling, the unchanged Q4 2027 operating profit is followed by Q1-Q3 2028. The three eligible quarters produce conditional GP of 878.400M, conditional expense of 87.840M and conditional OP of 790.560M. At 30%, the recognized model increment is **237.168M OP**, giving **17,135.868M forward-four-quarter OP × 15 ÷ 3,202.780616M shares = HK$80.254645**. The source does not change the 15× recurring-OP method. Q1 2028's ceiling includes all four 2028 quarters and therefore the full 329.400M weighted OP increment.

The source's strongest counter-evidence is its own supply response: substantial high-end CCL capacity expansion toward 2028, alongside copper price inflation and competition between PTFE/hybrid and hydrocarbon recipes. Nameplate sheets are not yet qualified good output, but successful qualification can still reduce scarcity. Kingboard's selected 2027 margins are already high; the report's extreme EPS sensitivity assumes a different starting margin and unusually favorable cost conversion. That sensitivity is not imported into this operating model. No numerical Base-score change is selected: the evidence refines cycle duration already represented by integration, cycle and supply-response categories; both analytical and Excel Base remain 72%.

The source image below is retained in full to make those conditional assumptions inspectable. Its EPS scenarios are evidence about sensitivity, not this model's earnings forecast or a target-price input.

BofA GLOBAL RESEARCH

Exhibit 23: Summary of price hike (after tax) by different types of glass cloth
Low-end glass cloth registered stronger price hike year-to-date (YTD)

Type of glass cloth	YTD price uplift	Price as of Aug 2026 (msq)
Q-glass	n.a.	CNY200+

Source: BofA Global Research, company data

BofA GLOBAL RESEARCH

Exhibit 24: Sensitivity on 2027 net income per 1% of price hike
We expect 1-2% and 3-5% bottom-line benefits based on different scenarios, per every 1ppt of CCL price hike

	Scenario 1	Scenario 2
Company	CCL price hike w.o. any cost inflation	CCL price hike purely driven by cost inflation
EMC	3.3%	1.2%
TUC	3.8%	1.2%
Shengyi	5.1%	1.6%

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 25: 100% price hike could drive over 200% EPS upside for Kingboard laminates, assuming (1) 20% usual GM before price hike, and (2) price hike can be all translated into profit
Scenario analysis of CCL price hike's impact on EPS, 2026E

Impact on EPS (2026E)		CCL price hike				
		20%	40%	60%	80%	100%
Usual GM without price hike	20%	67%	105%	142%	180%	217%
	25%	88%	125%	163%	200%	238%
	30%	108%	146%	183%	221%	258%
	35%	128%	166%	203%	241%	278%

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

BofA Global Research, October 5 2026, original page 13. Bank scenarios and lead-time commentary; the extreme EPS grid is not selected. Original image pixels preserved. Original exhibit, panel 1 of 2; read from top to bottom.

Sector view: stay positive on industry leaders

We stay constructive on the CCL for PCB area, given the ongoing spec upgrades and robust demand growth into 2027-28, and we believe the worries from CPO (co-packaged optics) proliferation are either overstated or distant, as the mass adoption of CPO to replace NPO (near-packaged optics) or pluggable optical modules will not take place until 2029/30, at earliest.

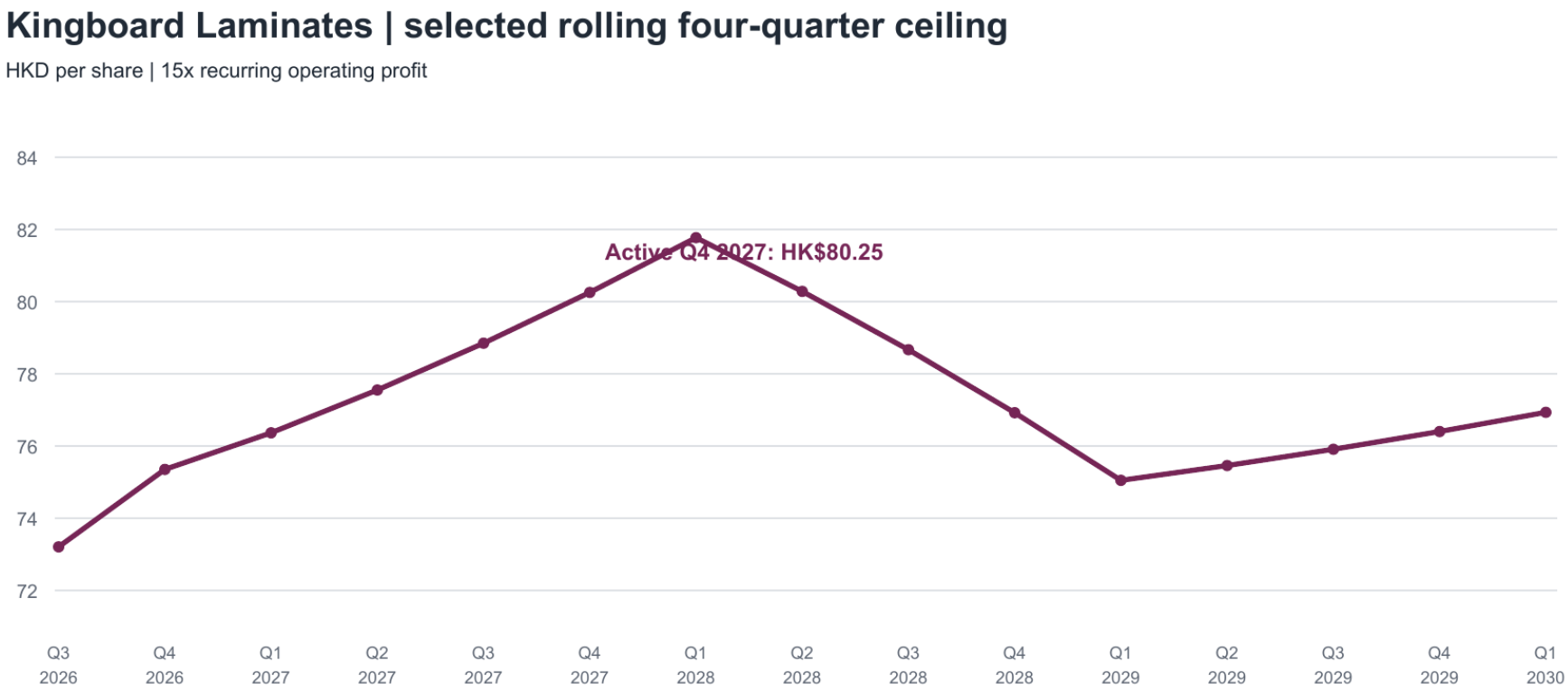
Currently, we see extended lead-time (of production) toward 2-3 months by high-end CCL makers in 2H26 (vs 1-2 months seen in 1H26), while low/mid-end suppliers' lead time is also extended to 1-2 months (7-10 days before). We also believe the current valuation by EMC (21-22x 2027E P/E) and TUC (17-18x 2027E P/E) looks compelling, given that the numbers do not seem lofty when compared with the historical trading range of 1) 15-20x before mid-2023; and 2) normally above 20x after mid-2023 when the strong demand from AI server starts to emerge. As for Kingboard Laminates, it is traded at 8x 2027E P/E, below historical average of 10x.

Among our coverage, we highlight Buy-rated EMC, given its technology leadership in high-end CCL area along with diversified customer profile across GPU and ASIC accounts, as well as TUC, given its (see report) aggressive capacity expansion into 2027 and beyond. We also highlight Buy rating on Doosan Corp and Kingboard Laminates, given the former's solid position in NVIDIA GPU and Amazon switch, as well as the latter's robust earnings expansion amid CCL price hike and rising high-end contribution starting 2027. As for Shengyi Tech, we remain relatively conservative, given its relatively slower expansion in CCL capacity along with a milder growth in the PCB business.



BofA Global Research, October 5 2026, original page 13. Bank scenarios and lead-time commentary; the extreme EPS grid is not selected. Original image pixels preserved. Original exhibit, panel 2 of 2; read from top to bottom.

The current valuation path uses the selected operating model and unchanged diluted-share schedule. It remains conditional on the qualified-output, cost and cash assumptions elsewhere in this artifact.



Selected Kingboard rolling-four-quarter ceiling, HKD per share. Exact unrounded values are in section 9 and the linked workbook.

7. Operating-cost bridge and quarterly operating model

Recurring H1 operating calibration: 4,580.233M reported GP - 80.412M investment income - 273.283M distribution - 438.927M administration = 3,787.611M. The investment income exclusion assumes negligible direct investment cost; fair-value loss 269.242M and other income 18.514M are separately outside this recurring calculation. R&D is not disclosed as a separate H1 line; development expense remains in reported manufacturing/administrative cost pools. Forecast operating expenses are 5% of operating sales through 2028 and 5.5% thereafter. In 2028, a separately modeled 10% reserve against incremental laminate gross profit covers additional qualification, commercial support and operating costs. This equals 36.600M for the year; manufacturing input costs and normal yield are already reflected in the margin endpoints. The reserve is an analyst assumption, not disclosed guidance. Product margins include production depreciation, energy and normal scrap. This avoids the old shortcut of converting net margin directly to OP.

Profit basis: Recurring operating GP less distribution, administration and development costs; investment income/marks excluded. Amounts below are HKD millions.

Quarter	Status	Revenue	GP / contribution	Opex % incl. reserve	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2026	Model	10,620.000	4,296.000	5.000%	531.000	35.452%	3,765.000	H2 price/mix and new yarn output	LOW model
Q4 2026	Model	11,625.000	4,912.000	5.000%	581.250	37.254%	4,330.750	Two specialty kilns expected	LOW model
Q1 2027	Model	10,230.000	4,092.000	5.000%	511.500	35.000%	3,580.500	Fine-yarn Phase II startup	LOW model
Q2 2027	Model	11,160.000	4,464.000	5.000%	558.000	35.000%	3,906.000	Specialty fabric and laminate line	LOW model
Q3 2027	Model	12,090.000	4,836.000	5.000%	604.500	35.000%	4,231.500	Foil and Nansha fabric commissioning	LOW model
Q4 2027	Model	13,020.000	5,208.000	5.000%	651.000	35.000%	4,557.000	Full-year price/volume check	LOW model
Q1 2028	Model	11,918.500	4,447.520	5.068%	603.977	32.249%	3,843.543	Expansion yield and qualification + margin persistence	LOW model

Quarter	Status	Revenue	GP / contribution	Opex % incl. reserve	Opex	OP margin	Operating profit	Main driver	Confidence
Q2 2028	Model	13,002.000	4,851.840	5.068%	658.884	32.249%	4,192.956	Specialty mix replaces scarcity + margin persistence	LOW model
Q3 2028	Model	14,085.500	5,256.160	5.068%	713.791	32.249%	4,542.369	External fabric capture + margin persistence	LOW model
Q4 2028	Model	15,169.000	5,660.480	5.068%	768.698	32.249%	4,891.782	1.05B metre capacity checkpoint + margin persistence	LOW model
Q1 2029	Model	12,782.000	4,239.400	5.500%	703.010	27.667%	3,536.390	Industry supply begins to catch up	LOW model
Q2 2029	Model	13,944.000	4,624.800	5.500%	766.920	27.667%	3,857.880	High-end share versus pricing	LOW model
Q3 2029	Model	15,106.000	5,010.200	5.500%	830.830	27.667%	4,179.370	Margin normalization	LOW model
Q4 2029	Model	16,268.000	5,395.600	5.500%	894.740	27.667%	4,500.860	Cash returns on capacity	LOW model
Q1 2030	Model	14,003.000	4,404.400	5.500%	770.165	25.953%	3,634.235	More high-perf ormance laminate sales	LOW model
Q2 2030	Model	15,276.000	4,804.800	5.500%	840.180	25.953%	3,964.620	Competitive pricing and mix	LOW model
Q3 2030	Model	16,549.000	5,205.200	5.500%	910.195	25.953%	4,295.005	Customer renewal and utilization	LOW model
Q4 2030	Model	17,822.000	5,605.600	5.500%	980.210	25.953%	4,625.390	Sustainable materials profitability	LOW model

OP = sum of product GP/contribution - explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.

8. Multiple, shares and recognition convention

Retain 15× forward four-quarter recurring operating profit for cyclical materials. The current earnings expansion changes revenue/margin inputs, not the multiple. Neither broker targets nor the supplied share price sets the valuation.

The August return verifies 3,151.45M issued shares and outstanding options of 36.4M plus 4.95M. Use gross exercise dilution of all 41.35M for 3,192.8M starting shares, then an explicit 0.25% annual allowance. Do not treat the scheme’s unused 196.3M authorization as already granted or add controlling-shareholder secondary sales as new issuance. Option cash proceeds and hypothetical buybacks are not added. H1 noncontrolling profit is negligible; no material minority allocation is required for this operating proxy.

The valuation denominator is the ceiling quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1; this converts the model units to HKD per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit ceiling.

9. Complete rolling four-quarter ceiling derivation

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	Ceiling HKD	Key inflection
Q3 2026	Q3 2026 → Q2 2027	15,582.250000	15×	3,192.800000	73.206512	H2 price/mix and new yarn output
Q4 2026	Q4 2026 → Q3 2027	16,048.750000	15×	3,194.793632	75.351111	Two specialty kilns expected
Q1 2027	Q1 2027 → Q4 2027	16,275.000000	15×	3,196.788509	76.365702	Fine-yarn Phase II startup
Q2 2027	Q2 2027 → Q1 2028	16,538.043000	15×	3,198.784631	77.551531	Specialty fabric and laminate line
Q3 2027	Q3 2027 → Q2 2028	16,824.999000	15×	3,200.782000	78.847914	Foil and Nansha fabric commissioning
Q4 2027	Q4 2027 → Q3 2028	17,135.868000	15×	3,202.780616	80.254645	Full-year price/volume check
Q1 2028	Q1 2028 → Q4 2028	17,470.650000	15×	3,204.780480	81.771513	Expansion yield and qualification
Q2 2028	Q2 2028 → Q1 2029	17,163.497000	15×	3,206.781593	80.283751	Specialty mix replaces scarcity
Q3 2028	Q3 2028 → Q2 2029	16,828.421000	15×	3,208.783955	78.667283	External fabric capture
Q4 2028	Q4 2028 → Q3 2029	16,465.422000	15×	3,210.787568	76.922352	1.05B metre capacity checkpoint
Q1 2029	Q1 2029 → Q4 2029	16,074.500000	15×	3,212.792431	75.049199	Industry supply begins to catch up
Q2 2029	Q2 2029 → Q1 2030	16,172.345000	15×	3,214.798547	75.458904	High-end share versus pricing
Q3 2029	Q3 2029 → Q2 2030	16,279.085000	15×	3,216.805915	75.909546	Margin normalization
Q4 2029	Q4 2029 → Q3 2030	16,394.720000	15×	3,218.814536	76.401047	Cash returns on capacity
Q1 2030	Q1 2030 → Q4 2030	16,519.250000	15×	3,220.824412	76.933331	More high-performance laminate sales

- **Q3 2026:** (3,765.000000 + 4,330.750000 + 3,580.500000 + 3,906.000000) × 15 × 1 ÷ 3,192.800000 = **73.206512 HKD/share**. Window: Q3 2026-Q2 2027.
- **Q4 2026:** (4,330.750000 + 3,580.500000 + 3,906.000000 + 4,231.500000) × 15 × 1 ÷ 3,194.793632 = **75.351111 HKD/share**. Window: Q4 2026-Q3 2027.
- **Q1 2027:** (3,580.500000 + 3,906.000000 + 4,231.500000 + 4,557.000000) × 15 × 1 ÷ 3,196.788509 = **76.365702 HKD/share**. Window: Q1 2027-Q4 2027.
- **Q2 2027:** (3,906.000000 + 4,231.500000 + 4,557.000000 + 3,843.543000) × 15 × 1 ÷ 3,198.784631 = **77.551531 HKD/share**. Window: Q2 2027-Q1 2028.
- **Q3 2027:** (4,231.500000 + 4,557.000000 + 3,843.543000 + 4,192.956000) × 15 × 1 ÷ 3,200.782000 = **78.847914 HKD/share**. Window: Q3 2027-Q2 2028.
- **Q4 2027:** (4,557.000000 + 3,843.543000 + 4,192.956000 + 4,542.369000) × 15 × 1 ÷ 3,202.780616 = **80.254645 HKD/share**. Window: Q4 2027-Q3 2028.
- **Q1 2028:** (3,843.543000 + 4,192.956000 + 4,542.369000 + 4,891.782000) × 15 × 1 ÷ 3,204.780480 = **81.771513 HKD/share**. Window: Q1 2028-Q4 2028.

- **Q2 2028:** (4,192.956000 + 4,542.369000 + 4,891.782000 + 3,536.390000) × 15 × 1 ÷ 3,206.781593 = **80.283751 HKD/share**. Window: Q2 2028-Q1 2029.
- **Q3 2028:** (4,542.369000 + 4,891.782000 + 3,536.390000 + 3,857.880000) × 15 × 1 ÷ 3,208.783955 = **78.667283 HKD/share**. Window: Q3 2028-Q2 2029.
- **Q4 2028:** (4,891.782000 + 3,536.390000 + 3,857.880000 + 4,179.370000) × 15 × 1 ÷ 3,210.787568 = **76.922352 HKD/share**. Window: Q4 2028-Q3 2029.
- **Q1 2029:** (3,536.390000 + 3,857.880000 + 4,179.370000 + 4,500.860000) × 15 × 1 ÷ 3,212.792431 = **75.049199 HKD/share**. Window: Q1 2029-Q4 2029.
- **Q2 2029:** (3,857.880000 + 4,179.370000 + 4,500.860000 + 3,634.235000) × 15 × 1 ÷ 3,214.798547 = **75.458904 HKD/share**. Window: Q2 2029-Q1 2030.
- **Q3 2029:** (4,179.370000 + 4,500.860000 + 3,634.235000 + 3,964.620000) × 15 × 1 ÷ 3,216.805915 = **75.909546 HKD/share**. Window: Q3 2029-Q2 2030.
- **Q4 2029:** (4,500.860000 + 3,634.235000 + 3,964.620000 + 4,295.005000) × 15 × 1 ÷ 3,218.814536 = **76.401047 HKD/share**. Window: Q4 2029-Q3 2030.
- **Q1 2030:** (3,634.235000 + 3,964.620000 + 4,295.005000 + 4,625.390000) × 15 × 1 ÷ 3,220.824412 = **76.933331 HKD/share**. Window: Q1 2030-Q4 2030.

10. Annual trajectory cross-check

Calendar year	Revenue	GP / contribution	Opex	OP	OP margin
2027	46,500.000	18,600.000	2,325.000	16,275.000	35.000%
2028	54,175.000	20,216.000	2,745.350	17,470.650	32.249%
2029	58,100.000	19,270.000	3,195.500	16,074.500	27.667%
2030	63,650.000	20,020.000	3,500.750	16,519.250	25.953%

These are calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

Annual operating revenues are 46,500/54,175/58,100/63,650M in 2027-30. With H1 operating revenue 14,823.397M, H2 10,620+11,625M implies 37,068.397M FY2026 operating sales, excluding financial investment income. 2027 CCL 30,000M can be framed as about 125M sheets × HK$240 equivalent realized sales; by 2028 34,000M requires about 130M sheets × HK$261.54 equivalent. These are ASP-equivalent checks, not disclosed prices, and prepreg mix complicates sheet comparisons. The 2028 glass 10,625M bridge is 950M conventional metres ×65% external ×HK$10 +100M specialty metres ×70% external ×HK$35 +2,000M external yarn. All external fractions/ASPs are LOW-confidence assumptions; own-use volumes are excluded. New foil capacity 21,000 tonnes ×HK$130,000 per tonne would represent 2,730M full-year revenue before utilization, mix and internal use, supporting only part of the copper/resin vector. Beyond announced projects, 2030 CCL needs approximately 145M equivalent sheets and continued high-value mix; extra capacity is conditional.

11. Dilution sensitivity - same operating case

Denominator sensitivity	Q4 2027 shares M	Q4 2027 ceiling HKD	Effect on ceiling
-5% shares	3,042.641585	84.478573	+5.26%
+0% shares	3,202.780616	80.254645	+0.00%
+5% shares	3,362.919647	76.432995	-4.76%
+10% shares	3,523.058678	72.958768	-9.09%

This isolates denominator uncertainty; it is not a second bull/bear operating case or permission to remove known dilution. The base case remains the explicit share path in the rolling table.

12. Programme and probability ledger

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
Current shipments and July profit	Reported operating update; HIGH historical confidence	Above 10M sheets monthly; July profit about 1,100M	Calibrates H2; not multiplied into a guaranteed annual profit	Track realised revenue, GP and operating cash.
Shaoguan conventional yarn/fabric	Commissioning plan; 85% delivery judgment	70,000 tonnes yarn started late June; 95M metres fabric Q3 2026	Within materials capacity and sales; no internal double count	Compare qualified production and utilization with nameplate.
Specialty expansion	Management programme; 75% timing judgment	Eight more kilns; two in H2 2026; 10,000-tonne ultra-fine Phase II Q1 2027	Within glass curve; no separate unsupported award	Confirm commissioning, specialty yield and qualified customers.
2027 fabric projects	Management programme; 75% timing judgment	78M metres specialty H1 2027; 150M metres Nansha Q3 2027	Part of 1.05B-metre 2028 capacity bridge	Installed looms are not all external sales.
Copper and laminate lines	Management programme; 75% timing judgment	21,000 tonnes foil Q3 2027; 350,000 monthly sheets first phase mid-2027	Within existing vectors, no PCB manufacturing added	The larger laminate plan is 1.1M monthly sheets plus 20,000 prepreg rolls, not all initial output.
Laminate-margin persistence in 2028	S6 bank/channel evidence; 30% subjective probability	Established 34% and premium 44% conditional GMs versus 29%/42% reference	Weighted GMs 30.5%/42.6%; 10% incremental-GP expense; +329.400M CY2028 OP	Applies to all Q1-Q4 2028; returns to reference curve in 2029. No 2027 operating delta.
KBH procurement caps	Framework authorization; no purchase probability applied	2027/28 legal caps 8,329.9M/9,995.9M	Not booked sales; company has no minimum supply obligation	Use actual releases and settlements to establish conversion.

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Pricing cycle and competing supply	-1	New kilns, looms and competitor capacity can remove scarcity premiums.
Qualification and product mix	-1	Higher-performance materials may qualify more slowly or earn less than estimated.
Project and raw-material execution	-1	Energy, copper, resin and new-line yields can absorb selling-price increases.
Working capital, borrowing and investments	-1	Inventory, receivables, capex and securities purchases increase funding needs.
Related-party governance and concentration	-1	Large connected-company sales and purchases require arm's-length pricing and cash collection.

14. Dated catalysts, counters and escalation

1. **H2 2026 - Pricing versus costs** Check whether July strength continues in recognized profit, rather than annualizing one exceptional month.
2. **Q1-Q3 2027 - Capacity commissioning** Verify fine yarn, specialty fabric, Nansha, foil and first laminate phase dates and qualified output.
3. **2028 - Fabric volume and specialty mix** Test 1.05B metres total and 100M specialty capacity against external sales and own use.
4. **Every reporting period - Cash and connected transactions** H1 operating cash 1,065.487M was below approximately 1,800M new-capacity investment; net gearing increased to 30%. Monitor collections and debt.
5. **2027-30 - Price normalization** Review the selected 30% probability of 2027 laminate margins persisting through 2028. Track realized price less copper/resin/glass costs, qualification and competing good-unit capacity. Faster cost increases or supply additions lower the weight; continued net-spread retention can raise it. The selected increment ends after Q4 2028.

15. Cross-book monitoring

Kingboard Holdings 148.HK owns broader PCB/chemical businesses; 1888 is the laminate/material subgroup. Dongshan, Shennan and other PCB makers can face higher laminate input costs but pass-through differs by contract. Elite Material and Shengyi compete in high-end laminates. Glass-core packaging does not make system PCBs unnecessary, so no blanket substitution uplift or penalty is assigned to LPKF, SEMCO or other packaging suppliers.

16. Source register and model limits

S1 - 2026 interim report (2026-09-17 publication; issuer upload 2026-09-18). H1 actuals, July trading update, capacity, operating scope and financing.

S2 - 2025 annual report (2026-04-22; results 2026-03-16). Prior management discussion, certifications and initial specialty-material plans.

S3 - Connected supply and purchase framework renewal (2026-09-16). Actual eight-month connected sales, proposed caps and distinction from parent PCB operations.

S4 - August securities return (2026-09-01). 3,151.45M issued shares and 41.35M outstanding options.

S5 - Issuer current disclosure register (Accessed 2026-09-18). Latest company disclosures and reporting-event chronology.

S6 - BofA Global Research, Technology Asia-Pacific: CCL for PCB - spec upgrades well on track toward CY27/28 with pricing upside (2026-10-05). Owner-supplied 30-page PDF, reviewed in full previously; pages 11-14 rechecked for the selected duration bridge. Bank/channel estimates are distinguished from issuer guidance. Immutable source hash: 2cd8bb0abf309fac2efe01a11f25081d59a73ef22be1a20e3710a5bbe3eaa3a3. The repeated copy is the same event, not independent corroboration.

The product revenue split and all future margins are LOW-confidence estimates. No verified grade-specific M8/M9 revenue or named NVIDIA qualification is asserted. Management’s July profit indicates strength but does not prove a permanent 1.1B monthly profit floor. The operating ceiling excludes financial investments and debt/cash adjustments; it is not a full equity NAV. A quarterly forecast does not turn a half-year reporter into a quarterly actuals reporter.

Workbook: v3_2_master_portfolio.xlsx, model tab 1888_HK_Q_Model. It owns portfolio ranking, prices and return calculations; those are intentionally outside this artifact. **Current artifact path:** G:\My Drive\1amInvesting\Artifacts\1888HK_KingboardLaminates_DeepDive.md. **Recovery:** prior versions and the source-event decision log are retained outside this current-state artifact.